IRAN, ISLAMIC REPUBLIC

Table 1	2022
Population, million	84.7
GDP, current US$ billion	407.4
GDP per capita, current US$	4809.4
Upper middle-income poverty rate ($6.85)[a]	27.6
Gini index[a]	42.0
School enrollment, primary (% gross)[b]	109.7
Life expectancy at birth, years[b]	74.8
Total GHG emissions (mtCO2e)	912.0

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2019), 2017 PPPs.
b/ Most recent WDI value (2020).

A combination of improving hydrocarbon sector outturns and growth in the non-oil sectors drives economic expansion in Iran. Water and electricity shortages, insufficient job creation, and high inflation pose chronic structural challenges that, together with socio-political grievances, have contributed to recent country-wide protests. Weaker global demand and ongoing economic sanctions present major headwinds to the outlook.

Key conditions and challenges

The Iranian economy is set to grow for a third consecutive year in 2022/23 (Iranian year starting on March 21), albeit at a slower pace than in 2021/22. However, structural challenges, including sluggish long-term growth, high inflation, and low employment, have added to other grievances which contributed to recent protests. Despite some diversification in the economy, Iran remains vulnerable to the volatility of oil markets, as the government's financial and external accounts continue to be heavily skewed on commodity exports and hydrocarbon derivatives.

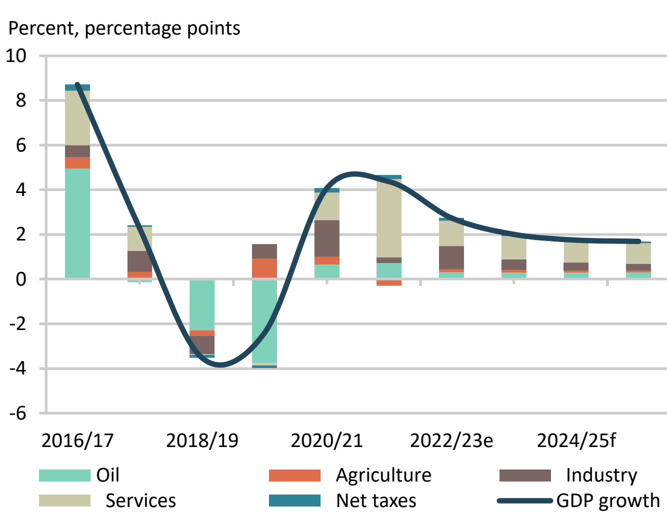
High inflation and inadequate job creation disproportionately impact lower-income households. Although external shocks, including sanctions, pushed average annual inflation to 40 percent in 2019-2023, inflation already hovered above 20 percent in the past four decades, which highlights structural challenges from persistent budget deficits and imbalances in the banking system. Such unabating inflationary pressure not only affected the level of domestic prices but also caused an erosion in the real value of social assistance transfers, thus making poorer households pay the heaviest toll. At the same time, just over a third of the population is employed due to anemic job creation. Even with a highly educated female population, only one out of ten Iranian women is employed. Iran's labor market challenges have been compounded by the increasing emigration of the highly educated workforce. Low employment and the resulting low pension contributions add to financial sustainability risks for the pension system in the longer term.

Urgent reforms are needed to confront pressing structural economic challenges on the monetary and fiscal fronts. Monetary policy should focus on restoring price and financial system stability and moving away from administrated lending and pricing. Counter-cyclical fiscal policy would help control budget deficits and promote investment in productive sectors, renewable energy, and economic diversification, while also freeing up much-needed resources to protect the most vulnerable through well-defined and targeted transfers.

Recent developments

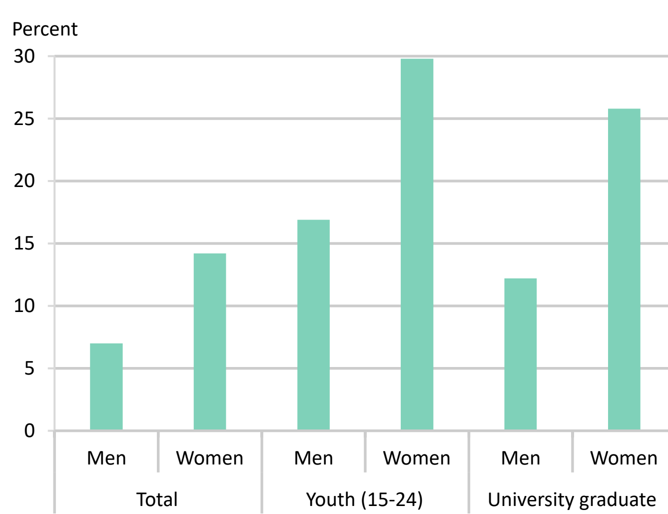
GDP grew by 3.5 percent year-on-year (y-o-y) in the first nine months of 2022/23 (9M-22/23), driven by services and manufacturing. The oil sector also grew by 9.3 percent (y-o-y), aided by favorable supply-and-demand adjustments in global oil markets. On the expenditure side, private consumption was the main driver of GDP growth, while investment growth was insufficient to fully compensate for the decline in the net capital stock in recent years. This economic expansion – coupled with some decline in labor force participation (still 3.3. percentage points

FIGURE 1 Islamic Republic of Iran / Real GDP growth and supply-side contributions to real GDP growth



Sources: Central Bank of Iran and World Bank staff calculations.

FIGURE 2 Islamic Republic of Iran / Unemployment rates, Q3-22/23



Sources: Statistical Center of Iran and World Bank staff calculations.

below pre-pandemic levels) – contributed to achieving a record low unemployment rate of 8.2 percent. Unemployment remains especially high among women, youth, and university graduates.

The fiscal balance remained negative in 2022/23, constrained by the under-realization of oil income. In response, the government cut capital expenditures to cover rising current expenditures, particularly on the front of the rising wage bill, pension expenditures, and transfers.

Inflation accelerated following new food import policies and the depreciation of the rial, in the context of rising inflationary expectations. In 10M-22/23, headline and core consumer price inflation rose to 43.6 percent and 42.5 percent, respectively. Food prices contributed to half of the total price index increase, driven by the elimination of the subsidized exchange rate for imports of most food items.Inflationary expectations following the stalemate in the nuclear talk led the rial to depreciate by over 56 percent (y-o-y) in the same period, fueling inflation further.

The surge in oil prices led the current account to register a surplus in H1-22/23. Exports grew by 40 percent (y-o-y) in nominal terms, thanks to both higher oil prices and export volumes, while imports grew by 21 percent (y-o-y) primarily supported by the reversal of previous import restrictions. This led to a current account surplus of US$13.4 billion (3.5 percent of GDP equivalent), which was however largely offset by a net capital account deficit of US$12.8 billion, reflecting a recent upward trend in capital outflows.

Outlook

GDP growth is projected to remain modest in the medium term. Declining oil prices, the intensification of US sanctions, and global economic uncertainty weigh down on oil growth in the medium term. Recent social tensions, industrial sector strikes, energy shortages, and internet disruptions are expected to negatively impact growth in 2022/23 and may have long-lasting effects on economic activity. Water shortages are expected to adversely impact both agricultural production and add to energy shortages, especially if critical investments and price reforms in the energy sector do not materialize.

Fiscal and external pressures are forecast to remain high. Expenditures in the 2023/24 budget bill are expected to grow more than revenues, resulting in a growing fiscal deficit. The government plans to rely on sales of assets, which however could only partially finance the gap. On the external side, the current account will be adversely impacted by lower exports due to declining oil prices. Restricted access to international reserves due to ongoing sanctions will continue to exert pressure on the exchange rate. These pressures along with inflationary expectations are projected to keep inflation elevated in the medium term. High inflation and limited job creation will negatively impact household welfare and could add to social grievances.

The economic outlook is subject to high risks. Downside risks include further intensification of climate change shocks leading to protracted disruptions to domestic production due to water and energy shortages, escalation of social tensions due to an inflation-depreciation spiral, in addition to heightened geopolitical tensions. An escalation of sanctions or restrictions would further disrupt trade and financial transactions with main trading partners, including China, Iraq, and UAE. A significant breakthrough or interim agreement in nuclear negotiations can lead to marked changes in the economic outlook.

TABLE 2 Islamic Republic of Iran / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2020/21	2021/22	2022/23e	2023/24f	2024/25f	2025/26f
Real GDP growth, at constant market prices	3.3	4.7	2.7	2.0	1.8	1.7
Private Consumption	0.5	3.9	3.7	1.8	1.5	1.4
Government Consumption	-0.9	8.3	0.5	2.4	2.5	2.7
Gross Fixed Capital Investment	3.2	0.0	3.9	2.6	2.3	2.2
Exports, Goods and Services	-12.8	5.2	7.3	4.7	3.6	3.3
Imports, Goods and Services	-29.7	24.1	9.2	3.7	3.3	3.1
Real GDP growth, at constant factor prices	4.1	4.4	2.7	2.0	1.8	1.7
Agriculture	3.2	-2.6	1.4	1.2	1.0	1.0
Industry	7.8	3.2	4.4	2.5	2.0	1.9
Services	2.2	6.5	2.1	1.9	1.7	1.7
Inflation (Consumer Price Index)	47.1	46.2	46.1	49.1	44.3	40.4
Current Account Balance (% of GDP)	-0.3	3.5	3.8	3.1	2.3	2.0
Fiscal Balance (% of GDP)	-5.8	-2.0	-2.3	-2.5	-2.9	-3.2
Revenues (% of GDP)	7.3	11.1	11.4	10.8	10.3	10.0
Gross Public Debt (% of GDP)	39.2	42.4	38.0	38.5	39.0	40.0
Primary Balance (% of GDP)	-5.3	-1.6	-1.9	-2.1	-2.5	-2.8
GHG emissions growth (mtCO2e)	-2.4	2.4	2.1	1.6	1.5	1.5
Energy related GHG emissions (% of total)	66.2	66.6	66.2	65.8	65.3	64.8

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.